

Management report

The **mission** of the investment management company "Indexo" (IPAS "Indexo", hereinafter the Company or INDEXO) is to offer modern, transparent and simple investment products at low cost and to improve competition and transparency in the Latvian financial services industry.

"2025 has been a year of significant transformation and dynamic development for the INDEXO Group, leaving a substantial impact on the Group's future growth direction. The pension business continued to deliver strong results, providing another year of real capital growth for our fund clients. Revenues and profit also increased, which will further support the development of our banking business.

During the reporting year, INDEXO Banka significantly accelerated its development pace. By continuously enhancing our product offering, we attracted strong customer interest, and by the end of the reporting period nearly **50 thousand people** had opened bank accounts with us. Competitive interest rates on current account balances and deposits helped our clients **improve their everyday savings**. Our mortgage refinancing product enabled hundreds of clients to **reduce their borrowing costs**. We will continue to expand and improve our product offering to further enhance our clients' financial well-being.

To support the Bank's development, we raised substantial equity capital through both private and public offerings. We thank all investors who supported us in this process. Our priority is to continue expanding the Bank's business volumes and to achieve bank-level profitability in the near term.

Part of the capital raised was used to finance two acquisitions. On 15 December 2025, we completed the voluntary cash/share exchange offer to the shareholders of **DelfinGroup**, listed on the Nasdaq Riga Stock Exchange. By January, following completion of the mandatory offer, INDEXO owns **71.42%** of this profitable lending business, which regularly distributes dividends. Within the Group, INDEXO is already profitable and is increasingly able to finance its growth from internal financial resources, thereby reducing risk for shareholders. In a smaller transaction in September 2025, we acquired pension manager **IPAS VAIRO** for cash and shares, with **EUR 91 million** in assets under management and more than **12.5 thousand clients**. These events mark important milestones in the development history of IPAS INDEXO, demonstrating the company's ability to grow and expand also through strategic transactions. They show that we have become a sufficiently large and influential market participant to execute transactions of this scale, further strengthening our position in the financial market and opening new growth opportunities.

In asset management, the INDEXO Real Estate Fund also experienced significant growth, with assets reaching **EUR 176 million** (net assets of **EUR 75 million**). The fund continues to distribute dividends and reflects our long-term commitment to investing in the local market and promoting the development of Latvia's capital market. As the fund's assets increased, the management company, in which INDEXO holds a 49% stake, became profitable during the year.

None of this would have been possible without the professional, united and results-oriented INDEXO team.

We express our deepest gratitude to all INDEXO employees for their professional contribution, high sense of responsibility and continuous commitment to delivering on INDEXO's mission. Your daily work and dedication to INDEXO's values have been decisive in the development achieved to date and will be equally important in the future stages of the Group's growth.

We also extend our appreciation to our shareholders, whose number increased by 31% during the year and now reaches nearly 7 800. Thank you for your trust, support and belief in INDEXO's development vision. Your involvement and confidence in INDEXO strengthen our foundations and provide a solid platform for the sustainable future growth of the INDEXO Group."

Sincerely Yours,

Henrik Karmo, Chairman of the Board of IPAS INDEXO.

We would like to inform you about the key events in the development of INDEXO in 2025:

- 1) Pension business closed the reporting year with a profit of **EUR 2.18 million**, an increase of **169%** compared to 2024, enabling us to support the development and capital needs of INDEXO Banka to the greatest extent possible.
- 2) The pension management company, influenced by various factors, shifted its strategic focus towards the voluntary pension product, the 3rd pension pillar, which resulted in very strong growth performance. The number of clients increased by **5 857**, from **16 539** to **22 396**, representing an increase of **35.4%**. Assets under management grew from **EUR 37.6 million** to **EUR 59.2 million**, an increase of **EUR 21.6 million**, or **57.3%**.
- 3) Within INDEXO Group, we place particular emphasis on ensuring that the services and products we offer are meaningful to clients and provide real added value. At the end of 2025, we introduced a new personal finance forecasting tool, the "Retirement Planner", and during the reporting year we significantly expanded the range of products offered by the Bank.
- 4) INDEXO customer retention is still at a high level and reached on annualized basis **85.23%** in December 2025. At the end of 2024, our customer retention was **86.89%**. The decrease in customer retention is largely due to increased activity by our competitors. We have taken notice, have implemented and will continue to implement measures to increase customer loyalty.
- 5) The number of INDEXO Banka clients more than doubled during the year, reaching nearly 50 000, while the loan portfolio grew to **EUR 55.5 million** at the end of 2025, with new loans issued during the year totalling **EUR 61.5 million**. To support the development of INDEXO Banka's operations, IPAS INDEXO strengthened the Bank's capital during the reporting period, increasing it to **EUR 27 325 002**, which is **EUR 10 015 557** more than in 2024, when the total investment amounted to **EUR 17 309 445**.
- 6) At year-end, INDEXO Banka's customer deposits reached **EUR 72.6 million**, compared to **EUR 33 million** at the end of 2024. The growth in deposits reflects strengthening customer confidence in the Bank, while the **EUR 1.19 million** paid to customers in interest during 2025 demonstrates the development of an active customer base and the competitiveness of the Bank's deposit products.

General description

The Company was founded on 10 January 2017. The registered office of the Company is Roberta Hirsaiela 1, Riga, LV-1045, Latvia. The uniform registration number in the Commercial Register of the Republic of Latvia is 40203042988. On 16 May 2017, the Financial and Capital Market Commission (after the merger – the Bank of Latvia) issued the Company a licence to provide investment management services, which was re-registered on 31 May 2017 under the number 06.03.07.567/478.

Pension Savings Management

Our aim is to help Latvians save enough for retirement to avoid a significant drop in their quality of life upon reaching that age. Global estimates suggest that maintaining one's standard of living in retirement requires saving around 10–15% of income, yet few people in Latvia follow this rule. Our savings for retirement offers both 2nd pillar (Defined Contribution) and 3rd pillar (voluntary) saving products. On September 19 we acquired IPAS VAIRO with 13 084 clients who had more than 89 million of assets under management.

Pension Savings Management key operating results

With growing assets under management, our revenues and profitability have been growing.

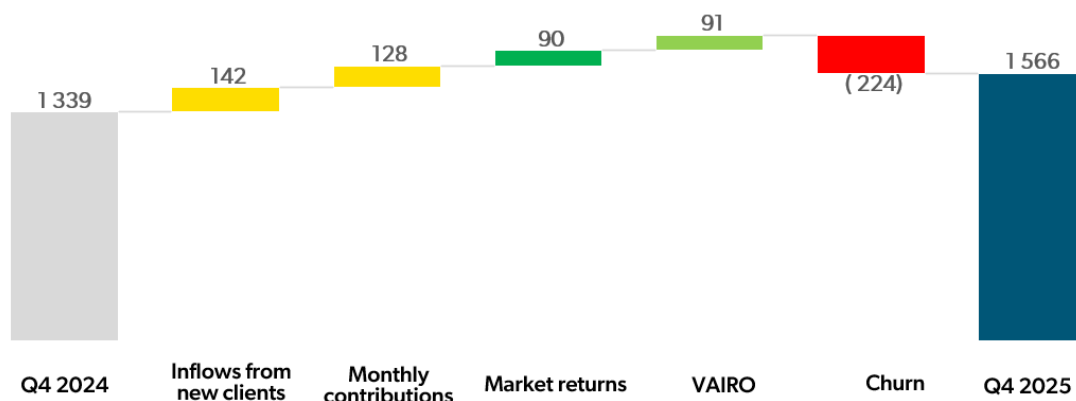
Millions, EUR	Jan - Dec 2025	Jan - Dec 2024	Change
Contribution inflows	142.0	129.0	10.1%
2 nd Pillar churn, end of period, annualized %	14.77	13.11	1.66pp
Commission income	5.11	4.44	15.1%
Operating income	3.87	2.77	39.7%
Net income*	2.18	0.81	169.1%
Normalised results**			
Operating income	3.73	3.30	13.0%
Normalized net income	2.12	1.34	58.2%

*-During the reporting period, IPAS INDEXO received EUR 0.78 million in dividends from AS DelfinGroup

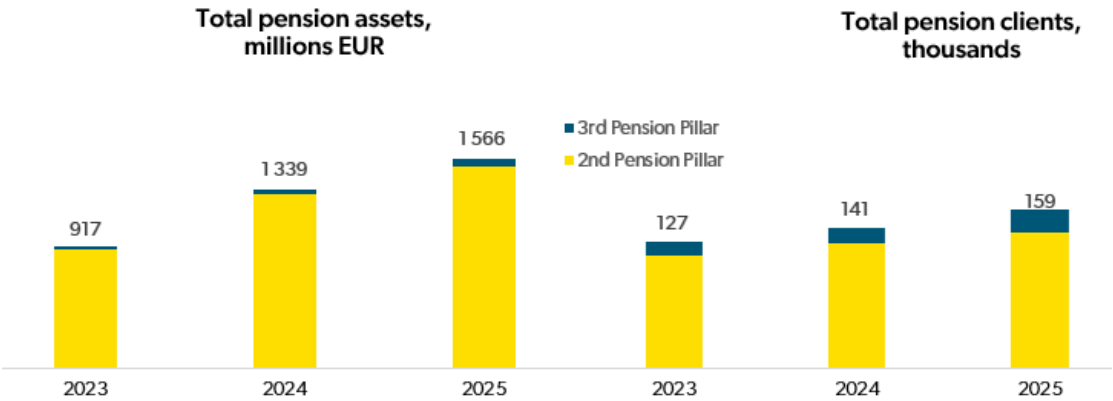
** - Normalized results show pure pension business results excluding expenses which are not attributed to the pension business. Like costs from public capital raises for the Bank, interest expenses of commitment letters, INDEXO employee options and other costs that have been incurred due to the development of INDEXO Bank.

Pension business total AUM growth drivers Q4 2024 – Q4 2025

Millions EUR, based on management estimates

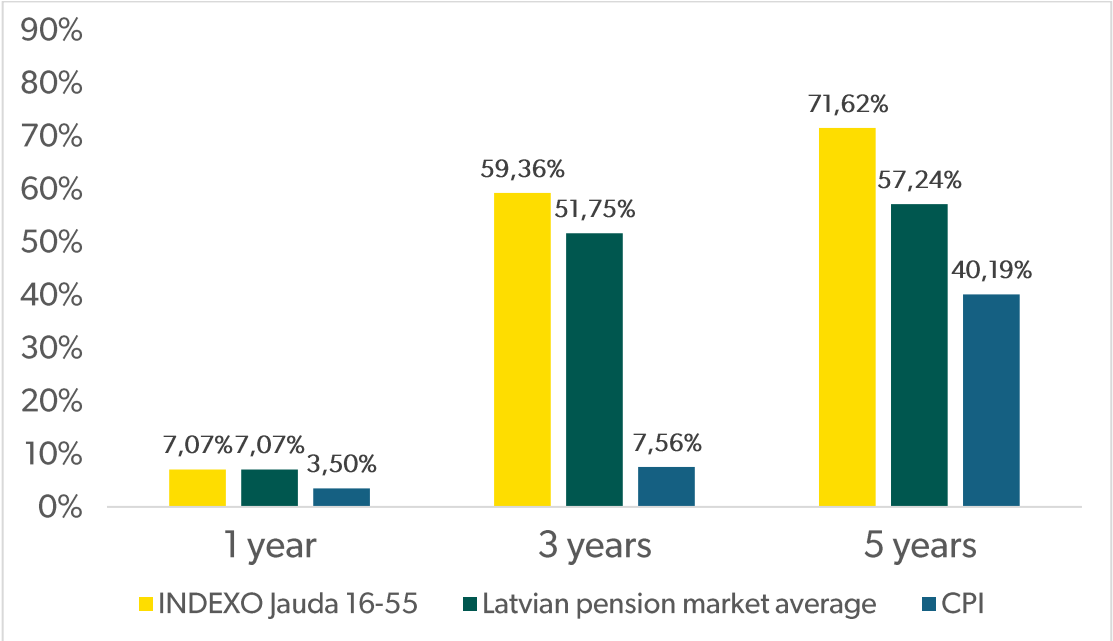


INDEXO AUM has increased from the start of the year to EUR 1 566 million, in comparison with 2024, it has grown 17% (from 1 339 million in 2024). All drivers of organic growth (monthly contributions (EUR 142 million), fund transfers from clients joining INDEXO (EUR 128 million) and market returns (EUR 90 million)) have significantly helped fuel AUM growth, yet it is imperative that we mention that the acquisition of IPAS VAIRO has been one of the main assets under management growth drivers in 2025. Our growth would be even faster if not for the worsened 2nd pension pillar customer retention rate during the period. Our 2nd pillar customer retention figure has declined from 86.89% in 2024 to 85.23% in 2025. This was mostly driven by several competitors resorting to active sales tactics, attracting clients into funds that have underperformed compared to INDEXO's equivalents since their inception. With lower contributions and the impact of reduced marginal fees, we are prioritizing the quality of client relationships.



Since the beginning of 2025 our focus has been voluntary savings for retirement. We are seeing early results of this pivot – our customer number has grown from 16 539 to 22 396 (35% y-o-y) and Assets under Management from EUR 37.6 million to EUR 59.2 million (57% y-o-y). Most importantly we have a good proportion of dedicated savers that are contributing regularly and increasing their payments.

INDEXO Jauda pension plan



The graph shows the cumulative returns of INDEXO Jauda 16-55 pension plan on 31.12.2025 relative to the average returns of 100% equity plans in the Latvian 2nd pillar pension market (excluding INDEXO Jauda 16-55), and the consumer price index in Latvia. Sources: manapensija.lv, Central Statistical Bureau of Latvia.

At the end of Q3 2025, our 2nd pillar customers had the highest average Assets Under Management per customer in the 2nd pension pillar market, amounting to EUR 10 679*. Our flagship plan, Jauda,

As of 31st of December 2025, our 3rd pillar pension plan returns are as follows:

3 rd Pillar Pension plan	Risk Profile	1-year return (per annum)	2-year return (per annum)	3-year return (per annum)	Return since inception (per annum)
INDEXO Akciju plāns	100% Equity	7.06%	15.73%	16.68%	10.33%
INDEXO Obligāciju plāns	100% Bonds	1.61%	1.97%	3.42%	-0.97%

Real Estate Fund Management

In 2022, together with two real estate professionals, we co-founded SIA Provendi Asset Management AIFP, a real estate management company in which INDEXO holds a 49% ownership interest. In 2023, SIA Provendi Asset Management AIFP commenced operations with the lowest cost real estate fund in Latvia, A/S Indexo Real Estate Fund, and two of our investment plans, "Jauda" and "Izaugsme", began allocating a portion of their assets to the fund. The investment was driven by our strategic intention to invest in the local market, capture the attractive long-term return potential of the local real estate sector, and contribute to the development of Latvia's capital market.

By the end of 2025, the fund's total investments in residential and commercial real estate exceeded EUR 176 million, representing nearly a fourfold increase over the past two years. The fund's **net asset value (NAV) increased by 10.5%**, and the fund paid dividends to investors, including our pension fund. In the fourth quarter of 2025, Indexo Real Estate Fund, managed by Provendi Asset Management, acquired two shopping centres, one in Latvia - Damme, and one in Estonia - Auriga. The total transaction value amounted to EUR 56 million. More information is available [here](#). As of 31 December 2025, the investment of the INDEXO pension plan "Izaugsme" in the fund amounted to EUR 14.5 million, or 5.78% of the plan's assets, while the investment of the plan "Jauda" amounted to EUR 20.5 million, or 1.81% of the plan's assets. During 2025, the value of the fund's investment units increased by more than 10%. We are very proud of the results achieved by Provendi Asset Management and hope for equally strong performance in the future.

Bank Development

AS INDEXO Banka (hereinafter the Bank or INDEXO Banka) commenced operations on 28 August 2024, three and a half months after receiving its banking licence on 21 May 2024. During the reporting period, INDEXO Banka completed its first full year of operations. Reflecting on the year, we are satisfied with the product and service offering developed for retail clients and with the Bank's ability to distinguish itself in the Latvian financial market through ease of use and innovative products, providing new opportunities and more favourable terms for clients.

Within 16 months of operations, the Bank has attracted nearly 50 thousand clients, built a loan portfolio exceeding EUR 55 million, and attracted almost EUR 74 million in deposits. The Bank's results in the second half of the reporting year clearly demonstrate strong demand in Latvia for new and innovative lending services.

INDEXO Banka commenced operations by offering core daily banking services to retail clients, including payments, cards, savings products, such as deposits and savings accounts, and consumer lending through a modern and user-friendly mobile application. The Bank also offers competitive pricing conditions, including being the only credit institution in Latvia that appropriately remunerates clients for balances held in current accounts.

Although the initial service offering was modern, convenient, and competitively priced, further development and enhancement remain necessary. During the reporting year, the Bank implemented the following improvements to its product offering:

- **Enhancements to daily banking account management solutions.** On 12 February 2025, INDEXO Banka became the first bank in Latvia to provide clients, through its mobile application, the ability to view their 2nd pillar pension savings, contributions, and returns, regardless of whether they are clients of INDEXO or any other pension manager in Latvia. This helped increase public interest in pension savings and made information significantly more accessible. In April 2025, the Bank introduced Google Pay and Apple Pay. This important step reflected our commitment to leveraging the latest technologies to enhance the payment experience for our clients.
- **Mortgage lending.** Mortgage loans represent the core retail lending product and are a key driver of client loyalty, typically accompanied using daily banking services with the lending bank. In May 2025, INDEXO Banka launched its mortgage refinancing service. We are proud to have already achieved an atypically large market share in this segment, estimated at 60–70%, helping many Latvian households improve the terms of their mortgage loans.
- **Consumer lending.** From the start of operations, the Bank offered consumer loans fully digitally through its mobile application, with approval and disbursement possible in less than five minutes, setting a new standard in the Latvian banking sector. During the reporting year, we repeatedly refined credit approval and pricing conditions to identify the most suitable market approach. We also established fully automated integrations with leading Latvian lending platforms, significantly expanding our consumer loan distribution capacity. In September, we introduced the option for existing consumer lending clients to increase their loan amount and amend repayment schedules.
- **Deposit attraction.** According to Latvijas Banka data, more than EUR 9 billion is currently held in Latvian residents' current accounts, in most cases earning no return. During the reporting year, INDEXO Banka implemented multiple pricing enhancements across all deposit products. The Bank currently remunerates clients with 1% annually on current account balances, 2% annually on savings accounts, while term deposit rates are not only among the highest offered by leading Latvian banks but also exceed the yield of Latvian government savings bonds.¹
- **Custodian bank services.** Disproportionately high custodian bank fees remain another indicator of limited competition in the Latvian banking sector. INDEXO Banka is technically prepared to provide custodian bank services; however, fulfilling regulatory requirements has required additional time. The Bank plans to launch the service in the coming months, with IPAS INDEXO clients expected to gain access to custodian services in the second quarter of 2026.

Although significant time and resources were invested in enhancing our retail product and service offering during 2025, this work will continue. The introduction of new products and services, as well as further development of existing ones, will remain a priority in 2026. An indicative near term product rollout roadmap is outlined below:

¹ Latvian government savings bonds

- **Mortgage lending.** In February 2026, we launched home equity loans, loans secured by residential property. Initial client response following the launch has been encouraging, and we expect this product to contribute a meaningful share of the Bank's mortgage portfolio growth in the coming years. The introduction of this service has also created the platform required to soon offer mortgage loans for the acquisition of new properties.
- **Consumer lending.** In 2026, the Bank will continue initiatives aimed at responsibly expanding the loan portfolio, including the introduction of consumer loan refinancing and the expansion of partnerships with new distribution partners. At launch, the Bank relied on an external partner's credit risk assessment model. Having now accumulated the necessary statistical base, we plan to introduce our own credit risk assessment model during 2026, enabling more accurate evaluation of client creditworthiness and improving approval and disbursement metrics.
- **Deposit attraction.** Deposit growth remains one of the Bank's strategic priorities in 2026, and we will continue offering competitive conditions across our deposit products. To support deposit inflows, from the beginning of 2026 the Bank has offered free daily banking services to clients who use an INDEXO Bank account for receiving regular income. During 2026, we also plan to enable parents to open accounts for their children, alongside a range of additional daily banking service enhancements. These improvements are designed both to attract new clients and to encourage existing clients to make more active use of INDEXO Bank's services.

In the second half of the reporting year, we began to realise the benefits of our investments in product development, as well as our sales and marketing initiatives. During the second half of the year, the Bank significantly expanded its loan portfolio and revenue base. Of INDEXO Banka's total income of EUR 1.88 million in 2025, EUR 1.61 million was generated during the second half of the year.

Despite the positive revenue growth trajectory, income levels have not yet reached the scale required to fully cover the Bank's infrastructure and operating costs. As a result, INDEXO Banka recorded a loss of EUR 9.24 million for the reporting period.

The largest investment and expense category related to the establishment of the Bank is IT. In 2025, total capitalised IT investments in intangible assets relating to the Bank's IT infrastructure amounted to EUR 2.65 million. In addition, IT expenses recognised in the profit and loss statement during 2025 totalled EUR 3.06 million. Since the start of INDEXO Banka's development, cumulative investments in intangible IT infrastructure assets have reached EUR 7.5 million.

At the end of the reporting period, INDEXO Banka complied with all regulatory requirements relating to liquidity and capital adequacy. To finance reporting period losses and ensure compliance with capital adequacy requirements amid rapid loan portfolio growth, the Bank's capital was increased by EUR 10 million during 2025, and subordinated borrowings of EUR 1.8 million were raised. At the end of the reporting period, INDEXO Banka's capital and reserves amounted to EUR 9.25 million, and the capital adequacy ratio stood at 21.16%. The liquidity coverage ratio was 529.67%, significantly exceeding the regulatory minimum of 100%.

To continue expanding the loan portfolio, introduce new services, and cover losses until breakeven is achieved, INDEXO Banka will require additional capital during 2026. It is expected that a substantial

portion of this capital will be provided by IPAS INDEXO from profits generated in 2025 and the first half of 2026. The Bank may also issue additional AT1 and Tier 2 capital instruments, depending on capital needs and the pace of loan portfolio growth.

Further information on INDEXO Banka's key operational developments, risk management, and financial results for 2025 is available in INDEXO Banka's Annual Report: <https://indexo.lv/en/for-investors/reports/>

Results of subsidiary INDEXO Banka, AS

	Jan-Dec 2025	Jan-Dec 2024*
	EUR'000	EUR'000
Commission & Interest income/(expense)	1 321	(144)
Administrative and other expenses	(10 566)	(6 019)
Comprehensive losses for the reporting period	(9 245)	(6 163)
	Dec 2025	Dec 2024
	EUR'000	EUR'000
Assets	87 892	44 591
Liabilities	78 545	36 114
Equity	9 247	8 477

*- These are bank development expenses incurred by AS "IDX1R" during 2023, not INDEXO Bank, due to it not technically being a bank yet.

"Indexo" Group results:

	Jan-Dec 2025	Jan-Dec 2024
	EUR'000	EUR'000
Commission and other income	6 718	5 096
Administrative and other expenses	(14 453)	(10 478)
Comprehensive losses for the reporting period	(7 735)	(5 382)
	Dec 2025	Dec 2024
	EUR'000	EUR'000
Assets	283 846	48 440
Liabilities	210 815	36 315
Equity	73 032	12 125

The total group losses in 2025 amounted to EUR 7.74 million, of which EUR 9.25 million are attributable to the bank development and a profit of EUR 1.4 million to the pension management business. (Dividends are eliminated at the Group level, as they are received from a Group company) and a bargain purchase gain of EUR 0.12 million from DelfinGroup, as their net assets exceeded the acquisition consideration (more information on Note 18)

Groups equity at the end of reporting period amounted to EUR 73.0 million (in 2024: EUR 12.1 million). During 2025, share capital was increased by EUR 5.236 million. The Group has total assets on the balance sheet of EUR 283.8 million (in 2024: EUR 48.4 million) of which EUR 24.1 million is held in placements with credit institutions (in 2024: EUR 36.6 million). Group's total liabilities stand at EUR 210.8 million (in 2024: EUR 36.3 million), of which EUR 74.4 million are financial liabilities measured at amortized cost including deposits.

Sustainability

INDEXO was established with the aim to improve the financial environment in Latvia. It was a response to the unjustifiably high commission fees and low returns in pension management at the time. INDEXO strives to continuously develop in order to create long-term value for its clients, shareholders, and society at large. In 2025, the Company developed INDEXO Strategy document that includes INDEXO's sustainability strategy for the period from 2025 to 2028.

Environment

As a pension manager with a passive asset management strategy, INDEXO recognises that the greatest impact can be achieved through sustainably selected investments within its assets under management, the Company's digital initiatives, and sustainable solutions implemented in the Company's office premises.

Social Responsibility

INDEXO cares about relationships with employees, clients, shareholders, regulators and society. The company addresses social issues and advocates for positive changes in the Latvian financial environment.

Governance

Since its inception, one of INDEXO's core values has been transparency and good governance. After becoming a public company and reaching nearly 7 800 shareholders, INDEXO continues to improve its corporate governance practice.

Along with the Group's annual report, the company publishes the Corporate Governance Report for 2025, prepared in accordance with the requirements of Article 56.² of the Financial Instruments Market Law and the Corporate Governance Code issued by the Ministry of Justice's Advisory Council in 2025. Evaluating the adherence to the principles mentioned in the code for 2024, the Company's management board concludes that during the reporting period, 13 principles were fully complied with and 5 were partially complied with.

Signed on behalf of the Company by:

Henrik Karmo, Chairman of the Management Board

Marija Černoštana, Member of the Management Board

Artūrs Roze, Member of the Management Board

Valdis Vancovičs, Chairman of the Supervisory Board

THIS DOCUMENT IS SIGNED WITH A SECURE DIGITAL SIGNATURE AND CONTAINS A TIMESTAMP